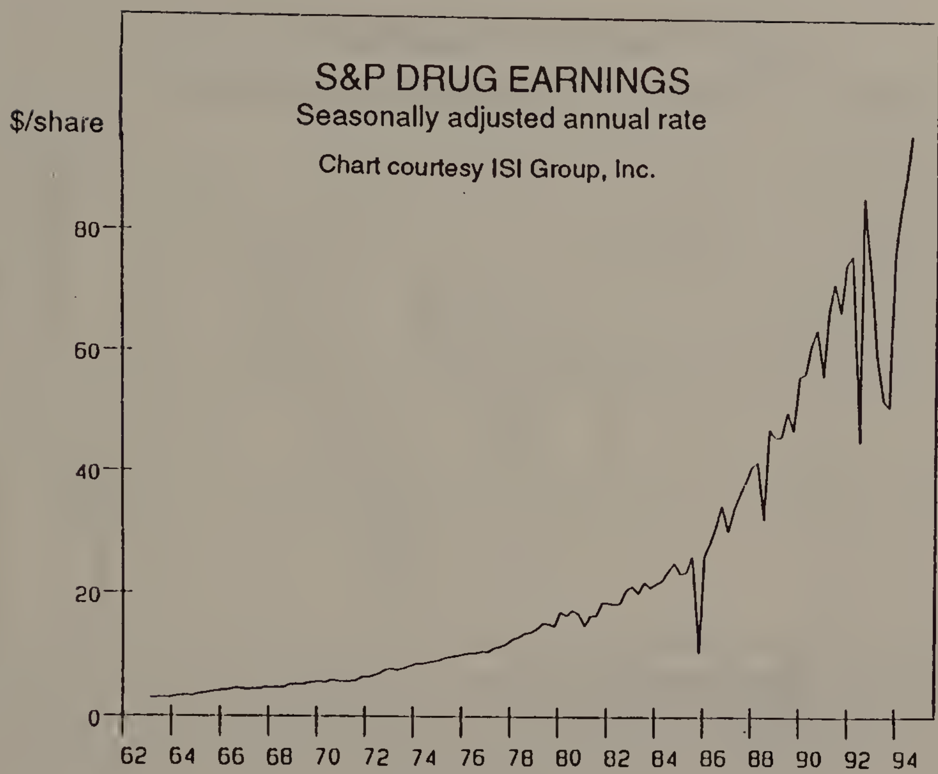

Figure 13-19

a look at Figure 13-21 and you will see why. The soaring yen and sliding dollar have cut U.S. purchases of foreign vehicles in half in seven years! These currency trends are a gift to Detroit that will disappear when the dollar rises. (Even then, though, protectionist measures slowing or preventing auto imports might serve to keep the U.S. auto industry in the "special situation" category for a bit longer, though ultimately, it will succumb.)

A Past Resolution of Long Term Economic Slowing

History provides an excellent guide to the importance of a long term slowing in upside economic momentum. If the Elliott Wave interpretation is correct that a fifth wave of Cycle degree has been in force for the past two decades, then the previous fifth wave of Cycle degree, which lasted through the 1920s, should have behaved similarly. Not only were social mood and the behavior of the stock market extremely similar, but the lessening rates of expansion in the economy painted the same picture as well.